WAVERLEY GATEWAY GUIDE

Connecting International Capital

PUERTO RICO

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
San Juan metropolitan area	Capital and main commercial, financial and tourism centre, home to the Port of San Juan and the island's principal international airport	Financial and professional services, tourism, logistics, real estate
Carolina	Site of Eli Lilly's $1.2 billion investment to support production of its next-generation oral obesity treatment	Pharmaceuticals, advanced manufacturing, aviation services
Juncos (east-central biotech cluster)	Amgen's biologics site supplying patients in more than 60 countries, with nearly $1 billion of expansion announced in 2025–2026	Biotechnology, biologics, medical devices
Aguadilla (north-west)	Former air base with a long runway and industrial land, hosting new manufacturing such as Solx's solar panel plant	Aerospace, clean-energy manufacturing, technology
Ponce and the Port of the Americas (south)	Second city and deep-water southern port positioned for transshipment and industrial logistics	Port logistics, manufacturing, agro-processing
Ceiba / Roosevelt Roads (east)	Former US naval base under long-term redevelopment, offering large waterfront and airfield sites	Tourism, logistics, mixed-use real estate
Island-wide manufacturing base	More than 70 FDA-approved manufacturing facilities and over 70 years of pharmaceutical production experience under the US regulatory framework	Pharmaceuticals, medical devices, biologics, contract manufacturing

INVESTOR ENTRY ROUTES

- Invest Puerto Rico (non-profit investment promotion agency) provides confidential site selection, incentive guidance and introductions for new investors
- Department of Economic Development and Commerce (DDEC) administers incentive decrees under Act 60 (the Incentives Code), extended in 2026 to 2055 for new beneficiaries, with a 4% rate on capital gains, interest and dividends for future resident-investor beneficiaries
- Puerto Rico Industrial Development Company (PRIDCO) offers industrial buildings and land for manufacturing and export-services projects
- Operation within the US legal, regulatory and customs system: US dollar currency, US federal courts, FDA oversight and no currency or repatriation restrictions

- US federal programmes, including Opportunity Zones and SBA-guaranteed lending, apply alongside local incentives
- Public-private partnerships through the Public-Private Partnerships Authority for energy, ports, roads and other infrastructure
- Energy-sector entry via renewable generation, storage and grid projects, including interconnection points for nearly 1 GW of planned renewables

MARKET-ENTRY OBSERVATION

Puerto Rico in October 2026 offers investors a US jurisdiction with a deep manufacturing base and improving business momentum. Real gross product grew 0.4% in fiscal year 2025 (to June) after 1.6% in FY2024, with GDP of $129.4 billion and manufacturing contributing around 44% of output. Gross domestic fixed investment reached $18.0 billion in FY2025, and leading indicators remain constructive: the manufacturing PMI stood at 51.9 in Q2 2026 with new orders at 54.8, unemployment was 5.7%, and commercial, industrial and agricultural lending rose to $6.5 billion in Q4 2025 from $5.0 billion a year earlier. Tourism is strengthening, with cruise passenger movements up 53% to 747,568 in Q1 2026. Biopharma reshoring is a major driver, led by Eli Lilly's $1.2 billion Carolina project and Amgen's nearly $1 billion of commitments in Juncos, while Act 60 incentives have been extended to 2055 for new beneficiaries.

Puerto Rico's main structural challenge is energy reliability, and it is also one of its largest investment opportunities. Two island-wide blackouts occurred within four months in 2024–2025, and the restructuring of the Puerto Rico Electric Power Authority (PREPA), in Title III proceedings since 2017, is still under way. Progress is visible: in March 2026 the federal court rejected bondholder claims of at least $3.7 billion for priority treatment, and in June 2026 the Oversight Board offered non-settling bondholders $3 billion, which would lift their recovery to about 35% and bring total non-pension creditor recovery to $4 billion. In parallel, grid operator LUMA has announced nearly 1 GW of renewables and over 700 MW of storage backed by more than $4 billion of private investment. For investors, on-site generation and storage mitigate supply risk, and the energy transition itself creates opportunities in solar, storage, grid services and engineering.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Electricity reliability and cost	Island-wide outages in 2024–2025 highlighted grid weaknesses, and grid operators estimate several years of reconstruction ahead	Plan for on-site solar, storage and back-up generation; the grid build-out offers opportunities for renewable developers and engineering firms
PREPA debt restructuring	PREPA's Title III case remains open, with bondholder claims above $8 billion and outcomes that may affect future electricity tariffs	Monitor mediation and the Oversight Board's $3 billion settlement offer; the March 2026 court ruling has removed a significant obstacle to resolution
Fiscal oversight framework	The Financial Oversight and Management Board established under PROMESA continues to certify fiscal plans and budgets, adding a layer of approvals	Engage both the Government and the Oversight Board early on public-sector and PPP projects; the framework supports fiscal discipline and debt sustainability
Demographics and labour supply	Population declined 0.6% in 2025 and labour force participation is 44.7%, which can tighten recruitment in specialised roles	Partner with universities and workforce programmes; Puerto Rico's bilingual, FDA-experienced workforce remains a core strength
Shipping costs and the Jones Act	Cargo between US ports must use US-flagged vessels, which can raise logistics costs for mainland trade	Factor freight into sourcing plans and use international routes and Foreign-Trade Zone procedures where suitable
Evolving incentive and tax rules	Act 60 was amended in 2026, and the global minimum tax is shaping incentives for multinational manufacturers	Obtain a DDEC incentive decree, which provides contractual certainty, and take local tax advice on minimum-tax interaction
Price pressures	Consumer price inflation rose to 4.3% in Q2 2026 from 1.0% a year earlier, partly reflecting energy costs	Build cost escalation into budgets; US dollar pricing removes exchange-rate risk for US and dollar-based investors

INVESTOR RISK NOTE

Puerto Rico's risk profile is that of a US jurisdiction working through the final stages of a long fiscal recovery. Investors benefit from US federal law and courts, the US dollar, FDA regulation and full access to the US market, which together provide a level of legal and currency certainty unusual in the Caribbean. The central government's debt has already been restructured under PROMESA, and the remaining PREPA case is moving towards resolution, helped by the March 2026 court ruling and the Oversight Board's improved settlement offer. The main practical considerations are electricity reliability, shipping costs and labour supply in specialised fields, all of which can be managed through on-site energy solutions, careful logistics planning and workforce partnerships. Hurricane exposure is a known factor, best addressed through resilient design and appropriate insurance. Recent multi-billion-dollar commitments by global pharmaceutical companies show strong confidence in Puerto Rico as a long-term production base.

MARKET ACCESS

Puerto Rico is an unincorporated territory of the United States and lies within the US customs territory, so goods move to and from the US mainland duty-free and benefit from US trade agreements and US membership of the WTO. The US mainland is the dominant export market, especially for pharmaceuticals, biologics and medical devices, and exports totalled $13.6 billion in Q1 2026. Puerto Rico's location also makes it a natural link between the US, the Caribbean and Latin America. The Port of San Juan handles most container traffic, with the Port of the Americas in Ponce and airports at San Juan and Aguadilla providing more capacity. Shipping between US ports falls under the Jones Act, while international routes and Foreign-Trade Zone procedures support re-export and regional distribution.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Governor (La Fortaleza), Governor Jenniffer González-Colón	Sets the economic, energy and incentive agenda, including the 2026 Act 60 reform extending incentives to 2055	Primary reference point for strategic direction and major projects
Invest Puerto Rico	Investment promotion agency focused on biosciences, technology, aerospace and professional services	Standard first point of contact for site selection and incentive guidance
Department of Economic Development and Commerce (DDEC)	Issues Act 60 incentive decrees and leads economic-development policy	Essential counterpart for incentive negotiation and decree issuance
Federal Reserve System and Office of the Commissioner of Financial Institutions (OCIF)	Puerto Rico uses the US dollar under US monetary policy, and OCIF supervises local banks and financial entities	Relevant for banking, financial-services licensing and international financial entities
Financial Oversight and Management Board	Federal board under PROMESA that certifies fiscal plans and budgets and leads the PREPA restructuring	Key stakeholder for public-sector contracts, PPPs and energy-sector investment
Puerto Rico Industrial Development Company (PRIDCO)	Public owner of industrial land and buildings across the island	Practical partner for manufacturing site acquisition and leasing
Puerto Rico Energy Bureau, PREPA and grid operator LUMA	Regulate, own and operate the electricity system, including interconnection of new renewables and storage	Central counterparts for energy projects and for securing reliable power

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Puerto Rico Chamber of Commerce, the Puerto Rico Manufacturers Association and the Puerto Rico Products Association are the leading local business networks, and the island also has active bioscience and technology industry groups. Invest Puerto Rico and DDEC run investor missions and take part in international events such as the BIO International Convention. US federal channels, including SelectUSA and the Small Business Administration, are available to investors. Global pharmaceutical and medical-device manufacturers with long-established plants are a useful source of practical intelligence on operating conditions and supply chains.

INVESTOR PROFILE BEST SUITED

Puerto Rico suits investors who want US market access, US legal protection and a proven advanced-manufacturing ecosystem: pharmaceutical, biologics and medical-device companies reshoring or expanding production; clean-energy developers and engineering firms targeting grid, solar and storage opportunities; aerospace and technology firms drawn by a bilingual workforce and Act 60 incentives; and tourism, hospitality and real estate investors building on the recovery in visitor numbers. Infrastructure investors with PPP experience can also find opportunities as energy and port projects progress.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Puerto Rico and DDEC on incentive terms
Open early dialogue to scope site options and secure an Act 60 incentive decree under the 2026 rules.

STEP 2: Build an energy resilience plan into project design
Size on-site solar, storage and back-up generation, and assess interconnection with the Energy Bureau and the grid operator.

STEP 3: Track the PREPA restructuring and grid investment programme
Follow the Oversight Board's settlement process and the renewable and storage build-out for both cost implications and project opportunities.

STEP 4: Secure industrial sites and workforce partnerships
Work with PRIDCO on available facilities and with universities and training programmes on specialised skills pipelines.

STEP 5: Structure logistics and tax planning with local advisers
Plan shipping routes with the Jones Act in mind, consider Foreign-Trade Zone procedures and review global minimum tax interaction.